

life in check. But hang in there and don't feel silly if some of it is, and always will be, over your head. In a chat with *The Age's* economics editor, Peter Martin, he assured me that this stuff is difficult to understand – it's not that Australians are financially illiterate, but that the workings of economics are a goliath to wrap your brain around. Here I've sought insights from experts who translate complex themes into everyday language.

For those already in the market, or anticipating a life-changing first purchase, rising property prices seem to equal rising wealth. That is largely an illusion, gurus argue, because as property prices increase, so too does our confidence in the economy and, as such, our spending. The 'wealth effect' – as money experts call it – describes how when households feel richer, they spend more. Property price increases – which provide the owner with a sense of growing wealth, on paper – influence how we splash our cash, according to work by the Australian Housing and Urban Research Institute. For every \$100,000 bump in property values, homeowners were likely to increase their expenditure by about \$1000 to \$1500 a year. Younger people spent \$19 more a week, and middle-aged homeowners forked out an extra \$30 per week.

Once you buy a home, financial literacy only becomes more important; you cannot assume you've got it made once your foot is nestled on the first rung of the property ladder. Grasping basic economics – as best you can; let's be easy on ourselves, and realistic – will help you be the master of your wallet for the long term. As your deposit grows for a first home, so should your financial vocabulary.

One-minute dictionary

Here's a list to help you understand the foundations of finance journalism and market lingo – useful for dinner party conversation, making sense of the business pages of a newspaper, and making sense of a conversation with your bank manager.

Approval in principle

This is a gesture from a lender that they are prepared to loan you a certain amount, often also called 'pre-approval' or 'conditional approval'. However, it's not a done deal – there are future steps that need signing off.